BUSINESS DATA MANAGEMENT

Lecture03

Overview

Hello friends and welcome to this new section of the BDM course under the economics module which is called demand and supply. Now demand and supply form the basic foundation for any business in terms of them making decisions both from a strategy standpoint and from a tactical or operational standpoint. For example, whether a company is deciding or planning to decide on how much they need to produce, how much they should be pricing a particular product, what should be their inventory that they need to hold up. They need the concept of demand and supply. Similarly, if they're looking at something a little bit more strategic, for example, if they are planning to enter a new market,

or they're planning to come out with a new product or service, they need to understand the concepts of demand and supply. So the whole understanding of demand and supply is constantly shaping the decisions that the managements of the businesses are trying to make. And as business data analysts, such as you, your understanding of demand and supply becomes extremely important simply because organizations today rely heavily on the data in order to predict customer behavior, in order to forecast their sales, in order to optimize pricing, manage production, reduce risks, and so on and so forth.

They need to constantly look at the whole understanding of demand and supply situation in the industry. So data analysts such as you would be expected to identify these patterns in terms of changing demand patterns, in terms of understanding how to respond to the changes in competition, and therefore the impact on prices, And all in all, try and help managers make better decisions, which is going to be largely driven by your understanding of the underlying data coming from demand and supply, rather than just going with certain set assumptions. As always, throughout this course, we will not just focus on definitions and theoretical constructs, but we will really look at the practical

application of demand and supply data and understand how businesses make both strategic and operational decisions based on the understanding and the concepts of demand and supply.

So once again, I welcome all of you to this particular section under the BDM course, and I hope all of you would not only learn this very important, I would say, fundamental understanding of the market in terms of the demand and supply constructs, but also would, through the real life examples that we will discuss, you will better appreciate the concepts and hopefully will be able to apply these concepts in the real world. So I look forward to working with you in this section on demand and supply. Bye for now.